

Paradiem

The Morning Brief

JULY 23, 2026

Capex Shock

Alphabet's raised \$195B-\$205B capex guide sinks shares after-hours as Tesla misses on EPS and ServiceNow beats on AI; Wednesday's cash tape rotated defensive with Utilities +2.25% and Energy +1.20% leading ahead of the LMT print this morning and Intel after the close, while the Houthis moved from threat to kinetic strike on two Saudi tankers in the Red Sea and US forces completed a 12th consecutive night of strikes on Iran.

S&P 500 (WED)	NASDAQ (WED)	WTI (USO WED)	GOLD (GLD WED)	FEAR & GREED
\$747.41 · ↓0.12%	\$705.35 · ↓0.51%	\$131.68 · ↑2.20%	\$379.12 · ↑1.15%	CNN 43 Fear · data drop returned crypto fallback (31)

SECTION 01

Markets — Wednesday's Cash Tape Rotated Defensive Into the Print with Utilities, Materials, and Energy Leading While Tech and Discretionary Gave Back; Alphabet's Raised \$195B–\$205B Capex Guide and Tesla's EPS Miss Reset the After-Hours Setup as ServiceNow Delivered the Cleanest AI-Software Beat of the Cycle

THE CASH TAPE SIGNALLED DEFENSIVE ROTATION AHEAD OF THE PRINT — UTILITIES LED, GROWTH GAVE BACK, AND INTERNALS RAN WORSE THAN THE HEADLINE

Per data drop, the S&P 500 closed ↓0.12% at \$747.41, the Nasdaq ↓0.51% at \$705.35, and the Russell 2K ↓0.93% at \$293.79 — a defensive session in which the sector map ran cleanly bimodal. Utilities (XLU) ↑2.25% (\$45.93), Materials (XLB) ↑1.44% (\$50.82), Energy (XLE) ↑1.20% (\$59.20), and Staples (XLP) ↑0.38% (\$84.38) led, while Communication Services (XLC) ↓0.75% (\$109.20), Discretionary (XLY) ↓0.74% (\$114.02), Healthcare (XLV) ↓0.51% (\$159.43), Real Estate (XLRE) ↓0.42% (\$45.01), and Tech (XLK) ↓0.28% (\$180.27) gave back. Inside the FCI Growth-Hybrid sleeve, the utility-adjacent cohort captured the flow: CEG ↑4.84% (\$274.90), VST ↑2.72% (\$166.74), EIX ↑2.83% (\$80.38), and NEE ↑1.68% (\$89.41), while NOW ↓6.47% (\$95.46), HRMY ↓5.37% (\$34.86), TEL ↓4.18% (\$200.28), and SOFI ↓3.23% (\$17.07) marked the bottom of the FCI board. The composition — defensives bid alongside real assets while the print-night names gave back into the close — is consistent with positioning discipline ahead of the Alphabet-Tesla-ServiceNow gauntlet.

ALPHABET'S RECORD CAPEX GUIDE AND TESLA'S MARGIN COMPRESSION RESET THE AFTER-HOURS SETUP AS SERVICENOW DELIVERED THE CLEANEST AI-SOFTWARE BEAT OF THE CYCLE

Per Alphabet's Q2 release and Seeking Alpha, CNBC, and BigGo coverage, GOOGL delivered revenue of \$119.8B ↑24%

year over year, Google Cloud ↑82% to \$24.8B, and operating income ↑30% to \$40.8B — but management raised full-year 2026 capex to \$195B–\$205B (up from \$180B–\$190B) and signaled a meaningful 2027 step-up. Per Seeking Alpha and CNBC coverage, GOOGL traded down roughly 3–5% in

after-hours as free cash flow turned deeply negative on record Q2 capex of \$44.9B. Per Electrek, CNBC, and Yahoo coverage, Tesla reported revenue of \$28.24B (beat \$25.71B consensus) but adjusted EPS of \$0.33 missed the \$0.51 consensus with GAAP operating income down 57% year over year to \$398M and operating margin at 1.4%; TSLA traded down roughly 3% after hours. Per Benzinga transcript coverage, ServiceNow (NOW) delivered Q2 subscription revenue of \$3.877B ↑23% year over year in constant currency — roughly 150 basis points above the high end of guidance — with operating margin at 29.5% (3 points above guide) and full-year subscription revenue guidance raised to \$15.77B (↑21% year over year). Per Benzinga, the AI Control Tower and Now Assist framework contributed toward more than \$1B in AI ACV, with management reiterating the \$1.5B end-of-2026 target. Note the FCI Growth-Hybrid ownership: NOW closed ↓6.47% at \$95.46 into the print, with the after-hours reaction to the beat providing a live read on whether Wednesday's pressure concentrated position de-risking ahead of the print.

S&P 500 (WED)	\$747.41 · ↓0.12% · range \$746.37–\$750.02
NASDAQ (WED)	\$705.35 · ↓0.51%
RUSSELL 2K (WED)	\$293.79 · ↓0.93%
XLU / XLB / XLE	↑2.25% / ↑1.44% / ↑1.20%
XLC / XLY / XLK	↓0.75% / ↓0.74% / ↓0.28%
ALPHABET FY26 CAPEX	\$195B–\$205B raised from \$180B–\$190B per Q2 release
GOOGL AFTER-HOURS	↓3–5% per Seeking Alpha / CNBC
TSLA AFTER-HOURS	↓~3% · EPS \$0.33 vs \$0.51 est per Electrek
NOW Q2 SUB REV	\$3.877B · ↑23% cc · FY sub guide raised to \$15.77B per Benzinga
CARSON'S SPY SUPPORT	\$645.80 active · Wed range \$746.37–\$750.02 · not hit

REAL-ASSET COMPOSITION REASSERTED — GOLD, SILVER, OIL, NAT GAS, AND COPPER ALL BID ALONGSIDE THE UTILITY MOVE

Per data drop, the commodity complex ran uniformly bid Wednesday: GLD ↑1.15% (\$379.12), SLV ↑1.58% (\$53.92), USO ↑2.20% (\$131.68), BNO ↑1.70% (\$51.42), and UNG ↑1.92% (\$10.60). The FCI Growth-Hybrid mining and copper names captured the flow — FCX ↑3.90% (\$65.00), AEM ↑3.83% (\$147.05), and CNX ↑2.94% (\$34.63) — while the Dividend sleeve saw NTR ↑2.48% (\$68.50) and PCAR ↑3.85% (\$131.11). Per Reuters coverage cited in the data drop headlines, oil rose for a fifth consecutive session on chokepoint supply risk, and buyers were reportedly pressing Qatar and the UAE for more flexible LNG pricing following the Hormuz shock. TLT ↓0.26% at \$83.44 alongside gold at a fresh high and silver bidding suggests markets are pricing a persistent higher-for-longer inflation regime with a real-asset overlay rather than a clean rate-cut narrative into the July 28–29 FOMC. For the FCI Real-Asset composition, the alignment of energy, precious metals, base metals, and rate-sensitive utilities (via power demand) argues that the physical-world thesis remains intact through the print bifurcation.

The physical world matters.

Wednesday delivered the defensive rotation the chip-cohort tape had been signaling, and the after-hours prints validated the caution — Alphabet's record capex guide and Tesla's margin compression reset the near-term risk premium while ServiceNow's AI-software beat provided the cleanest offset.

The LMT print this morning and Intel after the close will frame whether the physical-AI infrastructure thesis stays intact through the Fed blackout. Research Reveals Opportunities.

Geopolitics — The Houthi Blockade Turned Kinetic Overnight as Two Saudi Tankers Were Targeted in the Red Sea and One Reported Ablaze; US Forces Completed a 12th Consecutive Night of Strikes on Iran While the House Passed a \$1 Trillion Defense Bill and LNG Buyers Pressed Qatar and the UAE for Cheaper, More Flexible Terms Post-Hormuz

THE ENCELIA WAS REPORTED ABLAZE IN THE RED SEA — THE HOUTHİ BLOCKADE ANNOUNCED TUESDAY MOVED FROM WARNING TO LIVE-FIRE ATTACK INSIDE 24 HOURS

Per Reuters, USNews, and CNBC coverage, Yemen's Houthis said they attacked two Saudi oil tankers — the Encelia and the Layla — in the Red Sea on Wednesday, citing violations of the naval blockade the group announced against Saudi Arabia the day prior. Per the Saudi Press Agency and maritime security reporting cited by Reuters, a fire was confirmed on the bow of the Encelia at the outer port limits of Jizan; all crew members were reported safe. The transition from announcement to kinetic strike inside 24 hours materially shortens the decision timeline for the FCI Upstream sleeve and the LNG-adjacent names. Per Reuters headlines cited in the data drop, US forces completed a 12th consecutive night of strikes on Iran and oil rose for a fifth consecutive day on chokepoint supply risk. Per data drop, USO closed $\uparrow 2.20\%$ at \$131.68 and BNO $\uparrow 1.70\%$ at \$51.42, with UNG $\uparrow 1.92\%$ at \$10.60 — a composition consistent with markets pricing a persistent physical premium rather than pricing a durable de-escalation outcome. **The physical world matters.**

LNG BUYERS ARE PRESSING QATAR AND THE UAE FOR CHEAPER, MORE FLEXIBLE DEALS POST-HORMUZ — THE CHOKEPOINT SHOCK IS REPRICING THE LONG-DATED LNG CURVE

Per Reuters exclusive coverage cited in the data drop headlines, LNG buyers are pressing Qatar and the UAE for cheaper and more flexible contracts following the Hormuz shock, framing the disruption as a durable structural shift rather than a transient supply outage. The dynamic pulls the negotiating leverage toward buyers who can present alternative sourcing paths and away from Gulf producers exposed to Hormuz-transit risk. For the FCI Upstream sleeve, the Reuters dynamic argues against pricing a clean Hormuz-reopening scenario into the CVX $\uparrow 1.00\%$ (\$192.98), CNX $\uparrow 2.94\%$ (\$34.63), and OKE $\downarrow 0.09\%$ (\$91.75) cohort — the term structure of the LNG curve is beginning to embed structural chokepoint premium rather than transient physical premium. Per Reuters coverage cited in the data drop, the US House passed a \$1 trillion defense authorization bill Wednesday despite Iran and Israel concerns, an incremental tailwind for the FCI Defense sleeve heading into the LMT

print this morning. Per data drop, LMT closed $\uparrow 1.43\%$ at \$514.36 and GD $\uparrow 1.48\%$ at \$373.16 into Wednesday's close, with LMT's reported \$10.5B GLSS2 contract win adding a further program-level tailwind per Yahoo Finance coverage cited in the data drop. **Avoid Erosion.**

ENCELIA STATUS	Ablaze at Jizan port limits per Saudi Press Agency / Reuters
LAYLA STATUS	Targeted per Houthi announcement per Reuters
US STRIKE CADENCE	12 consecutive nights per Reuters headlines in data drop
OIL SESSION STREAK	Fifth consecutive session bid per Reuters
LNG BUYER POSTURE	Pressing Qatar / UAE for cheaper, more flexible deals per Reuters exclusive
US HOUSE DEFENSE BILL	\$1 trillion authorization passed Wednesday per Reuters
LMT POSITIONING	Closed \$514.36 · $\uparrow 1.43\%$ · Q2 EPS Est \$7.20 per Alphastreet / Zacks
LMT PROGRAM TAILWIND	\$10.5B GLSS2 win per Yahoo Finance coverage cited in data drop

On Our Radar

1. FCI Print Day — LMT, DGX, FCX, ORI, and SSNC Report Today with Intel After the Close. Per Lockheed Martin investor relations, LMT releases Q2 pre-market with an 8:30 AM ET call; Zacks Consensus per Alphastreet sits at \$7.20 EPS on \$19.33B revenue and the

print is the direct read on the \$10.5B GLSS2 win and Patriot-program demand per Yahoo Finance coverage in the data drop. Per Freeport-McMoRan investor relations and Zacks framing cited by GuruFocus, FCX reports today with consensus at \$0.596 EPS on approximately \$6.75B revenue — the print is the cleanest read on Q2 copper realizations against the \$6.50+ spot backdrop and the Grasberg Block Cave ramp cadence. Per data drop, DGX (Est \$2.85), ORI (Est \$0.80), and SSNC (Est \$1.71) also report; SSNC closed ↓1.33% at \$67.02 into the print. Per data drop and Alphastreet coverage, Intel reports after the close (Zacks Est \$0.21 EPS on \$14.42B revenue) with the 18A yield trajectory, the Apple-Microsoft foundry partnerships, and the reported Fortinet collaboration all in focus; INTC options are pricing a roughly 13% post-print move per TipRanks framing. Wednesday's FCI reporters — NOW EPS \$0.90 vs \$0.86 BEAT and TEL EPS \$2.94 vs \$2.87 BEAT per data drop — both beat estimates but the price reaction diverged materially: NOW ↓6.47% (\$95.46) into the print with a positive after-hours reaction to the raised subscription guide, while TEL ↓4.18% (\$200.28) on the day per data drop. *Research Reveals Opportunities.*

2. The Alphabet Capex Read-Through — Merchant Silicon, Neocloud Miners, and the FCI Physical-AI Infrastructure Thesis

Sit at the Center of the Repricing. Per Alphabet's Q2 release and Seeking Alpha coverage, the raised \$195B–\$205B FY26 capex guide (from \$180B–\$190B) and the signaled 2027 step-up materially expand the addressable spend for the merchant-silicon and neocloud cohorts even as GOOGL shares priced the free-cash-flow compression. Per data drop, Wednesday's FCI Growth-Hybrid chip cohort was mixed: NVDA ↑2.30% (\$212.06), NXPI ↑2.07% (\$278.80), CRDO ↑1.97% (\$228.27), MRVL ↑1.46% (\$210.99), and AMD ↑1.45% (\$552.33) advanced while LRCX ↓0.84% (\$319.29), KEYS ↓0.18% (\$327.53), TSM ↓0.80% (\$421.21), and FTNT ↓1.93% (\$155.05) lagged. Per Benzinga coverage cited in the data drop, HUT ↑0.81% at \$109.86 continued its neocloud-compute framing as the Alphabet CFO commentary on demand outpacing capacity landed with the AI-infrastructure cohort. For the FCI Digital-Asset sleeve, IBIT closed ↓0.88% at \$37.34 and ETHA ↓0.07% at \$14.52 into the Alphabet print — the after-hours capex read-through will drive Thursday's open for both. *Think Like an Owner.*

3. The Tesla Margin Compression Is the Cleanest Read on the Consumer-Discretionary Print Cycle — The FCI Auto-Adjacent and Consumer Cohorts Face a Reset Bar.

Per Electrek, CNBC, and Yahoo coverage, Tesla delivered revenue of \$28.24B (beat \$25.71B consensus) on 480,126 Q2 deliveries but adjusted EPS of \$0.33 missed the \$0.51 consensus; GAAP operating income fell 57% year over year to \$398M and operating margin narrowed to 1.4% as operating expenses rose 47% to \$4.35B and capex jumped 142% to \$5.79B. Per data drop, the FCI Growth-Hybrid consumer-adjacent cohort ran defensive Wednesday with TOL ↑1.21% (\$148.98), HRMY ↓5.37% (\$34.86), and ATAT ↑0.80% (\$31.46); the Discretionary sector (XLY) closed ↓0.74% at \$114.02 per data drop. The Tesla margin miss argues that the AI-capex-driven physical-world spend cycle is compressing near-term unit economics across the transportation and EV cohort — a dynamic that reads through directly to the CAT ↓0.07% (\$889.31) and PCAR ↑3.85% (\$131.11) industrial print cadence over the next two weeks. *Avoid Erosion.*

4. The Red Sea Attack and the LNG Repricing Have Materially Widened the Chokepoint Map — The FCI Upstream, Defense, and Utility Sleeves Sit at the Center of the Real-Asset Bid.

Per Reuters, USNews, and CNBC coverage, the Houthi strikes on the Encelia (reported ablaze) and Layla in the Red Sea moved the Tuesday blockade announcement from warning to kinetic operation inside 24 hours. Per Reuters exclusive coverage, LNG buyers are pressing Qatar and the UAE for cheaper, more flexible terms following the Hormuz shock. Per data drop, the FCI Utility cohort captured the AI-power-demand read alongside the escalation: CEG ↑4.84% (\$274.90), EIX ↑2.83% (\$80.38), VST ↑2.72% (\$166.74), NEE ↑1.68% (\$89.41), and ATO ↑1.95% (\$178.47). The Upstream sleeve captured the physical-premium bid: CVX ↑1.00% (\$192.98) and CNX ↑2.94% (\$34.63); the Defense sleeve firmed with LMT ↑1.43% (\$514.36) and GD ↑1.48% (\$373.16) heading into today's LMT print and the House's \$1 trillion defense authorization per Reuters. Carson's SPY \$645.80 support remains active per levels.json, well-removed from Wednesday's intraday range of \$746.37–\$750.02 per data drop — no level was hit. *The physical world matters.*

5. Fed Blackout Continues; PCE Prints July 30 — The Real-Asset Bid and TLT Weakness Remain the Cleanest Read on Market-Implied Inflation Expectations.

Per Federal Reserve schedule, the pre-FOMC communications blackout continues through the July 28–29 meeting (no SEP). Per Fed Meeting Tracker coverage cited by FedRateCalc, the current target range is 3.50%–3.75% and the June FOMC held with inflation flagged as elevated relative to the 2% goal. Per data drop, TLT closed ↓0.26% at \$83.44 while gold ran to \$379.12 (↑1.15% GLD), silver to \$53.92 (↑1.58% SLV), and oil bid a fifth consecutive session — a

composition consistent with markets pricing a persistent higher-for-longer inflation regime that could feed through to a hotter June PCE print due July 30 per BEA release schedule. For the FCI Dividend sleeve, Wednesday's tape captured ADI ↑1.02% (\$386.73), ATO ↑1.95% (\$178.47), CHD ↑1.44% (\$97.13), CL ↑1.25% (\$91.63), DGX ↑1.45% (\$209.83), GD ↑1.48% (\$373.16), GPC ↑1.05% (\$120.37), NEE ↑1.68% (\$89.41), NTR ↑2.48% (\$68.50), and PCAR ↑3.85% (\$131.11) — broad defensive participation ahead of today's LMT print. The CNN Fear & Greed Index sat at 43 (Fear) per CNN coverage on Wednesday; the data drop returned the crypto fallback of 31 (Fear) due to the endpoint failure noted in prior briefs. *Simplicity Over Complexity.*